



Time: 4 minutes

Outcome: Distinguish frictional, structural, and cyclical unemployment.

Difficulty: Intermediate

Types of Unemployment

THE CORE IDEA

Frictional unemployment comes from ordinary job search, structural unemployment from lasting mismatches, and cyclical unemployment from recessions. Layoffs caused by recession are cyclical unemployment. Short-term search between jobs is frictional unemployment. Job loss from weak demand during a recession is cyclical unemployment. A long-term mismatch between skills and available jobs is structural unemployment.

HOW TO RECOGNIZE IT

- A worker loses a job because a recession causes customers to spend less.
- A coal miner loses work because the economy shifts permanently toward other energy sources and the miner lacks transferable skills.
- Frictional unemployment exists because workers and firms take time to match.
- Structural unemployment is about mismatch; frictional unemployment is about normal search.
- A college graduate takes two months to find a first job that matches their skills.

WATCH OUT

Do not confuse the cause of unemployment with official labor-force status. For a jobless worker who is available and actively searching, normal search after leaving a job is frictional unemployment; recession-related job loss is cyclical unemployment.

WORKED EXAMPLE: IDENTIFYING UNEMPLOYMENT TYPES

A worker leaves a job and spends six weeks searching for a better match; that is frictional unemployment. A factory worker whose skills no longer match available technology faces structural unemployment. A restaurant worker laid off because a recession reduces spending experiences cyclical unemployment.

CHECK YOURSELF

A worker's occupation disappears after a lasting technology change, and their skills do not match new vacancies. Which type of unemployment is this, and how does it differ from ordinary job search?